

BrightLearn Business Analytics Terminology

1 Business Analytics

Is the iterative, methodical exploration of an organizations data using statistical analysis computing technologies and data visualization to drive decision-making and improve performance.

2 Data Analytics

Is the process of examining raw data sets using specialized tools and techniques to uncover hidden patterns, trends and actionable insights.

3 Business Intelligence

The procedural and technical infrastructure that collects, stores and analyzes data produced by a ^{companies} computer activities. It enables data-driven decision-making, performance backing via KPIs and operational efficiency by transforming raw data into actionable insights, visual reports and dashboards

4 Data-Driven Decision Making

The process of using facts, metrics and data analysis to guide strategic business decisions rather than relying on intuition or gut feeling.

5 Big Data

Massive, complex datasets structured or unstructured that exceed the processing capacity of traditional database systems. It is characterized by high volume, velocity and variety often analysed via machine learning to uncover patterns and drive strategic decision-making

6 Descriptive Analytics

The foundational process of using historical and current data to understand "what happened" in a business or system

7 Diagnostic Analytics

The root causes of trends, anomalies or specific business outcomes. It bridges the gap between descriptive analytics and predictive analytics by answering "why did it happen".

8 Predictive Analytics

Is a branch of advanced analytics that uses historical data, statistical modeling, data mining and machine learning techniques to forecast future outcomes.

9 Prescriptive Analytics

~~Is a branch of a level of data analysis~~
Is the highest level of data analysis, focusing on recommending specific, optimal actions to achieve desired outcomes. By using AI, machine learning and simulations to analyze data, it answers the question "What should we do"?

10 Data Literacy

Is the ability to read, work, analyze and communicate with data to make informed decisions.

11 Structured Data

Is highly organized and follows a rigid, predefined. Eg Excel spreadsheets

12 Unstructured Data

Has no predefined format or organization making it the most complex type to process. Eg Images

13 Data warehouse

Is a centralized specialized data management system designed to aggregate, store and analyze large volumes of historical data from multiple, disparate sources. Used for business analytics, complex reporting and gathering insights from multiple systems (eg Snowflake, Amazon Redshift, Google BigQuery).

14 **Data mining**

Is the process of using machine learning, statistics and AI to analyze large datasets to uncover hidden patterns, trends, correlations and anomalies. Eg Retail and Mining

15 **Data Visualization**

Is the graphical representation of information and data using visual elements like charts, graphs, maps and infographics to make complex data sets easy to understand, interpret and analyze.

16 **Dashboard**

Is a user interface that organizes and presents information such as key performance indicators (KPIs) in a centralized, easy to digest graphical format.

17 **Metric**

Are quantitative data points used to measure performance, track progress and analyze data often in business, finance and technology.

18 **Key Performance Indicator (KPI)**

Is a quantifiable measure used to evaluate the success of an organization, employee or project in meeting objectives. KPIs provide crucial, data-driven insights for strategic decision-making, helping focus efforts on high-impact initiatives rather than gut feelings.

19 **Benchmark**

Is the structured process of comparing an organization's performance metrics (KPIs, costs, quality) against industry standards, competitors or internal historical data to identify performance gap and drive improvements.

20 **Segmentation**

Is the process of dividing a broad market, customer base or entity into smaller, distinct groups that share characteristics, needs or behaviors. It enables tailored marketing strategies, improved customer engagement and better targeting of products.

21 Conversion Rate

Is the percentage of users or visitors who complete a specific desired action such as making a purchase, signing up for a newsletter or clicking a link out of the total number of visitor or leads. It acts as a key performance indicator (KPI) measuring the effectiveness of digital marketing, sales and website efficiency.

22 Customer Acquisition Cost

Incurs to persuade a new customer to buy a product or service, encompassing marketing advertising and sales costs. It is a critical metric for evaluating marketing ROI and profitability, calculated by dividing total acquisition expenses by the number of new customers acquired over a specific period.

23 Customer Lifetime Value (CLV or LTV)

Is the total revenue or net profit a business can expect from a single customer throughout their entire relationship.

24 Churn rate

Is the percentage of customers or subscribers who stop using a company's product or service over a specific time period, serving as a key indicator of customer retention and business health.

25 Customer retention rate

Measures the percentage of existing customers who remain with a company over a specific period, signaling loyalty and satisfaction.

26 Net Promoter Score (NPS)

Is a widely used customer experience metric that measures loyalty by asking how likely customers are to recommend a company, product or service to a friend or colleague.

27 Average Order Value (AOV)

Measures the average dollar amount spent each time a customer places an order. It is a critical e-commerce metric used to evaluate purchasing behavior, marketing effectiveness and profitability.

28 Sales funnel

Is a visual representation of the customer journey, mapping the stages a prospect goes through from initial brand awareness to final purchase. It helps businesses understand, manage and optimize the customer lifecycle typically narrowing from many potential leads at the top to a few customers at the bottom.

29 Marketing campaign

Is a strategic time-bound series of activities designed to promote a specific product, service or brand to achieve a defined business goal, such as increasing sales or raising brand awareness.

30 Post campaign

Evaluates marketing efforts by comparing actual results against goals to determine ROI, audience impact and effectiveness. Key components include summarizing performance (KPIs), examining channel data (clicks, conversions, cost per lead), and identifying actionable insights for future campaigns.

31 Incremental revenue

Is the additional income generated by a specific action, such as a new product launch, marketing campaign or price change that would not have been earned otherwise.

32 Return on Investment (ROI)

Is a key financial metric used to evaluate the profitability or efficiency of an investment relative to its cost, expressed as a percentage. It is calculated by dividing the net profit by the initial cost of the investment and multiplying by 100.

33 Return on Ad spend (ROAS)

Is a marketing metric measuring gross revenue generated for every dollar spent on advertising, calculate as $\text{Total Campaign Revenue} / \text{Total Ad Cost}$

34 Click through rate (CTR)

Is a digital marketing metric measuring the percentage of people who click on a link, ad or email after seeing it.

35 Bounce rate

Is the percentage of visitors who enter a website and leave after viewing only one page without interacting with the site further. It acts as a key metric for measuring user engagement content relevance and user experience

36 A/B testing

Is a controlled experiment comparing two versions of a webpage, app or email (Version A, the control and Version B, the variation) to see which performs better.

37 Lead generation

Is the process of attracting and converting strangers into prospects who have indicated interest in a product or service.

38 Marketing attribution

Is the analytical process of determining which marketing touchpoints such as ads, emails or social media drive customer conversions and sales. By assigning value to these interactions marketers can optimize ROI, reduce budget waste and understand the buyers journey. Common models include last click, first click, linear and multi-touch.